U.S. DEPARTMENT OF AGRICULTURE
WASHINGTON, D.C. 20250

DEPARTMENTAL REGULATION	NUMBER: DR 2236-001
SUBJECT: Shared Cost Programs	DATE: April 16, 2021
OPI: Office of the Chief Financial Officer	EXPIRATION DATE: April 16, 2026

1. PURPOSE

This Departmental Regulation (DR) identifies and establishes, where necessary, individuals, and organizations responsible for the financial health of and efficient operation of activities supported by United States Department of Agriculture (USDA) Shared Cost Programs (SCP). It describes the roles and responsibilities as they relate to the financial and operational management of SCPs and as they conform to authorities set forth under 7 United States Code (U.S.C.) § 2263, *Transfer of Funds*.

2. SPECIAL INSTRUCTIONS/CANCELLATIONS

This regulation supersedes DR 2236-001, *Shared Cost Programs*, dated March 14, 2014.

3. SCOPE

This regulation applies to the following individuals and organizations:

a. The Secretary, the Deputy Secretary, and the Office of the Secretary (OSEC);

b. The Chief Financial Officer (CFO);

c. The SCP Controller;

d. The General Counsel;

e. The Director, Office of Budget and Program Analysis (OBPA);

f. Mission Areas, Agencies, Staff Offices, and Organizations managing SCP activities; and

g. The SCP Advisory Committee (the "Committee").

4. POLICY

a. USDA may not augment its appropriation accounts (including annual appropriations and revolving funds) with transfers from other accounts without specific statutory authority.

b. As a rule, if a particular appropriated function is assigned to one Mission Area, agency, or staff office by statute or by the Secretary, that Mission Areas, agency, or staff office generally may not seek contributions (to include, through shared cost agreements) from Mission Areas, agencies, and staff offices funded by other appropriations to finance that function. The contributions would be an augmentation to the originating Mission Area, agency, or staff office's appropriation.

5. ROLES AND RESPONSIBILITIES

a. The Secretary, the Deputy Secretary, and OSEC:

(1) The Secretary, Deputy Secretary, or designee will designate a member to serve as chairperson, as needed, to be responsible for providing written recommendations at the conclusion of the SCP Advisory Committee.

(2) The Secretary, Deputy Secretary, or designee will, based on the SCP Advisory Committee or other reasons thereof, have final authority to approve in writing:

(a) New or expanded SCP programs;

(b) SCP cost recovery methodologies that serve as the basis for recovering SCP costs from agencies;

(c) SCP resource allowances;

(d) Termination of SCPs; and

(e) Changes in funding mechanism for SCPs (e.g., from SCP to direct appropriation, or from SCP to Working Capital Fund (WCF)).

(3) All approvals must be issued in writing under the signature of the Secretary, Deputy Secretary, or by his or her designee. If no approval has been issued after the start of the fiscal year, programs are authorized to continue operations at the prior year spending allowance level in 90-day increments or at the continuing resolution level, whichever is lower, until such time as written approval has been issued.

(4) In the event the Secretary or Deputy Secretary designates another party to exercise approval authority on his/her behalf, such designation must be documented in writing and signed by the Secretary or Deputy Secretary. This designation will be in effect until notice is given in writing by the Secretary or Deputy Secretary that said designation is withdrawn.

b. The General Counsel will:

(1) Appoint a representative to the Committee;

(2) Approve new or expanded SCP activities or changes in funding mechanism; and

(3) Provide, to the CFO, documentation of the proposed action having been reviewed by the Office of the General Counsel (OGC) staff.

c. The Director, OBPA, will:

(1) Appoint a representative to the Committee;

(2) Review notification of changes in funding mechanisms; and

(3) Provide guidance on and approve Congressional Notifications required for the establishment of new programs, reprogrammings, and budget line items prior to the implementation or termination of programs.

d. Departmental Staff Office Directors and Mission Area and Agency Heads administering activities with SCP support will:

(1) Provide overall authority for aspects of service delivery and operation over those activities and the related organizational units supported by the SCPs that they administer, consistent with existing delegations of authority; and

(2) Prepare proposals for any new or expanded reimbursable programs and submit such requests to the CFO through the SCP Controller, who will be responsible for coordinating reviews of such proposals.

e. The CFO will:

   (1) Appoint a representative to the Committee;

   (2) Provide requirements for the formulation of SCP budget requests; and

   (3) Review and approve proposals for new or expanded reimbursable programs.

f. The Associate CFO for Financial Policy and Planning will:

   (1) Serve as the SCP Controller;

   (2) Exercise day-to-day responsibilities for SCP oversight, including, but not limited to:

      (a) Review of SCP budget estimates, cost recovery methodologies, and SCP reimbursement estimates; and

      (b) Preparation of periodic financial reports;

   (3) Serve as primary advisor to the CFO and the Secretary on matters of SCP financial operations and general management issues;

   (4) Serve as an ex officio member of the SCP Advisory Committee;

   (5) Serve as Executive Secretary to the SCP Advisory Committee and any SCP subcommittees that may be established by the SCP Advisory Committee;

   (6) Provide budget support to and coordinate development of SCP resource estimates with SCP managers;

   (7) Coordinate with the OBPA Director on proposals involving changes in funding mechanism; and

   (8) Initiate, as applicable, required Congressional notification resulting from funding changes pursuant to the Agriculture appropriation act General Provisions or internal USDA notification to SCP managers and customer agencies when external notification is not required.

   (9) Coordinate reviews of proposals for any new or expanded reimbursable programs.

g. Organizations managing SCP activities will:

   (1) Prepare, subject to review and approval by the OSEC, annual budgets for SCPs in accordance with requirements of the Office of the Chief Financial Officer (OCFO) for the formulation of SCP budget requests; and

(2) Make submissions to the SCP Controller.

6. SHARED COST PROGRAM ADVISORY COMMITTEE MEMBERSHIP

The Shared Cost Program Advisory Committee serves as the primary recommending body to the Secretary on matters pertaining to SCP resource estimates, cost recovery methodologies, and reimbursements. The Committee will be comprised of:

a. One representative appointed by the Secretary;

b. One representative appointed by the General Counsel;

c. One representative appointed by the OBPA Director;

d. One representative appointed by the CFO; and

e. Ex officio: SCP Controller. The OCFO Associate CFO for Financial Policy and Planning will serve in this capacity. This member will not have voting rights with respect to business before the Committee.

7. INQUIRIES

Mission Areas, agencies, and staff offices should direct questions and inquiries regarding this DR to the OCFO at USDABudget@usda.gov.

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APPENDIX A

ACRONYMS AND ABBREVIATIONS

CFO	Chief Financial Officer
DR	Departmental Regulation
OBPA	Office of Budget and Program Analysis
OCFO	Office of the Chief Financial Officer
OSEC	Office of the Secretary
SCP	Shared Cost Program
U.S.C.	United States Code
USDA	United States Department of Agriculture
WCF	Working Capital Fund

APPENDIX B

DEFINITIONS

Ex officio Member. Members of the Committee holding this designation are those who hold membership by virtue of their office. Ex officio members are permanent members of the Committee as long as they hold their office.

Shared Cost Program (SCP). SCPs are programs authorized under 7 U.S.C. § 2263 and are performed on behalf of the Department and its Mission Areas, agencies, and staff offices, costs for which are recovered from USDA agencies via reimbursement mechanisms. They do not include Central Cost Distribution Programs or Working Capital Fund (WCF) activities.

APPENDIX C

AUTHORITIES AND REFERENCES

7 U.S.C. § 2263, *Transfer of Funds*. Authorizes the Department of Agriculture to establish programs, financed by reimbursement from agencies of the Department, of general benefit to the Department, its Mission Areas, agencies, and staff offices, its stakeholders, and other organizations with which the Department works to promote its various missions.